

26STCV04246 26STCV04246

County: los-angeles

Division: Civil Law and Motion

Department: 507

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Case Number: 26STCV04246 Hearing Date: July 31, 2026 Dept: 507

Tentative Ruling

Judge Rolf M. Treu,

Department 507

HEARING DATE: July 31, 2026 TRIAL DATE: NOT SET

CASE: DBS 3680, LLC v. Sentinel Insurance

Company

CASE NO.: 26STCV04246

DEMURRER

TO COMPLAINT; MOTION TO STRIKE PORTIONS OF COMPLAINT

MOVING PARTY: Defendant Sentinel Insurance Ltd.

RESPONDING PARTY: Plaintiff DBS 3680, LLC

CASE HISTORY:

02/09/26: Complaint filed.

TENTATIVE RULING:

Defendant's

Demurrer is SUSTAINED with 20 days leave to amend.

Defendant's Motion to Strike is
MOOT.

Moving Parties to
give notice.

BACKGROUND

This is a breach of contract action. Plaintiff alleges that it leased its commercial warehouse located at 3680 Beverly Boulevard, to a tenant who failed to disclose that they intended to use the property in a manner inconsistent with and not permitted by the lease. After the tenant vacated the property, Plaintiff alleges that it discovered extensive direct physical loss and damage, including saw cuts into the concrete foundation, dismantled and damaged drywall, and damage to the electrical, plumbing, and HVAC systems.

Plaintiff alleges it timely reported the loss to its insurer, Defendant Sentinel Insurance Company Ltd. (Defendant or Sentinel), and fully cooperated with Defendant's investigation, but Defendant denied coverage, invoking the policy's Dishonest or Criminal Acts Exclusion. Plaintiff alleges that Sentinel's denial was factually and legally unfounded because Plaintiff's consent to the Lease was procured through fraudulent inducement, and, therefore, the loss did not arise from a knowing entrustment of the Property within the meaning of the Policy's Dishonest or Criminal Acts Exclusion. Plaintiff alleges that by treating a fraudulently procured lease as a knowing entrustment, Sentinel improperly expanded the Policy's Dishonest or Criminal Acts Exclusion beyond its plain language and intended scope, failed to adequately analyze the causes of the damage, and failed to analyze or distinguish whether the damage was caused by the tenant or vandals.

DISCUSSION:

Request for
Judicial Notice

Defendant seeks judicial notice of:

(1) Exhibit 1 to Plaintiff's Complaint; (2) the Statement and Designation By Foreign Corporation by Sentinel Insurance Company, Ltd., filed March 17, 2009 in the Office of the Secretary of State of the State

of California; and (3) The Statement and Designation By Foreign Corporation by Hartford Underwriters Insurance Company, filed June 1, 1988 in the Office of the Secretary of State of the State of California.

The
request is granted. (Evidence Code sections 452(d) and 452(c).)

Plaintiff seeks judicial notice of a
webpage published by The Hartford identifying Defendant Sentinel as an
affiliate.

The request is granted. (Evidence
Code section 452(h).)

Demurrer

Legal Standard

A demurrer tests whether the
complaint states a cause of action. (Hahn v. Mirda (2007) 147
Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations
liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and
Power (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the
defects must be apparent on the face of the pleading or via proper judicial
notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968,
994.) "The ultimate facts alleged in the complaint must be deemed true, as well
as all facts that may be implied or inferred from those expressly alleged. (Marshall
v. Gibson, Dunn & Crutcher (1995) 37 Cal.App.4th 1397, 1403; see also Shields
v. County of San Diego (1984) 155 Cal.App.3d 103, 133 [stating, "[o]n
demurrer, pleadings are read liberally and allegations contained therein are
assumed to be true"].)

Third Cause of Action: Breach of Insurance Contract

Defendant

demurs to the cause of action for breach of insurance contract on the ground
that the attachment to the complaint shows that Hartford Underwriters Insurance
Company is the insurer, and not Defendant. (Compl., Exh. 1; Request for
Judicial Notice (RJN).) Hartford Underwriters and Sentinel are separate
corporations, separate entities and separate insurers. (RFJN, ¶¶ 2-3, and Exs.

B, C.)

A breach of contract requires sufficient facts

to establish: (1) existence of a contract between the parties; (2)

plaintiff's performance or excuse for nonperformance; (3) defendant's breach;

and (4) damages to plaintiff from the breach. (Wall Street Network, Ltd. v.

New York Times Co. (2008) 164 Cal.App.4th 1171, 1178.)

Because the Policy is attached to

the complaint and contradicts Plaintiff's allegations, it controls over Plaintiff's

allegations as to whether Sentinel is Plaintiff's insurer. (Morris v.

Redwood Empire Bancorp (2005) 128 Cal. App. 4th 1305, 1314.)

In

opposition, Plaintiff argues that the exhibit-controls rule reaches only

unambiguous documents (Fundin v. Chicago Pneumatic Tool Co. (1984) 152 Cal.App.3d 951, 955) and the Policy is not unambiguous on

the insurer's identity. Plaintiff argues that the Policy defines "The

Hartford" as "Hartford Fire Insurance Company and its affiliated

property and casualty insurance companies." (Complaint, Ex. 1, p. 2.)

Thus, Plaintiff argues that the issuing insurer's identity is therefore, at

most, ambiguous — and Hartford's own website identifies Sentinel as one of its subsidiaries. (RJN 1.)

However, as

Defendant notes in the Reply, the Declarations of the Policy control who the

parties to an insurance contract are and necessarily preclude other persons or

entities not identified therein from being parties to the contract. (Fidelity

& Deposit Co. of Maryland v. Charter Oak Fire Ins. Co. (1998) 66

Cal.App.4th 1080, 1086 ["The information in the declarations will control the coverage provided, and the named insured is generally identified in the declarations...").

The Declarations page of the Policy attached to Plaintiff's complaint expressly

and unambiguously identifies only Hartford Underwriters Insurance Company, not

Sentinel, as the insurer that issued the Policy to Plaintiff. (Compl. Exh. 1.)

Further,

Plaintiff relies on a small notation at the bottom of the Declarations page

that "The Hartford® is Hartford Fire Insurance Company and its affiliated

property and casualty insurance companies." This does not appear to be part of

the contract's terms, but rather, explains that the "The Hartford®" is a

trademark and brand name of the various related property and casualty insurance companies of Hartford group.

In

sum, Plaintiff's exhibit of the insurance policy shows under the declarations that Hartford is the insurer, and not Sentinel. Because the attachment contradicts Plaintiff's allegations regarding who the insurer is, the attachment controls.

As such, Sentinel's demurrer to the third cause of action for breach of contract is SUSTAINED with 20 days leave to amend on this basis.

Fourth Cause of
Action: Breach of Fiduciary Duty

As noted above, the attachment contradicts Plaintiff's allegation that Sentinel is the insurer; thus, the complaint does not allege the existence of a contract between Defendant and Plaintiff governing this insurance claim dispute. As such, the claim for breach of implied covenant of good faith and fair dealing also fails. (*Austero v. Nat'l Cas. Co.* (1976) 62 Cal.App.3d 511, 517 ["Where no [contractual] relationship exists, no recovery for "bad faith" may be had."].)

The demurrer is also sustained on this claim with leave to amend.

Motion to Strike

Defendants
also move to strike portions of the Complaint.

Because the Court has sustained the demurrer, the motion to strike is MOOT.

CONCLUSION:

Accordingly,
Defendants' Demurrer is SUSTAINED with 20 days leave to amend.

Defendants' Motion to Strike is MOOT.

Moving Parties to

give notice.

IT IS SO ORDERED.

Dated: July 31, 2026 _____

Rolf

M. Treu

Judge

of the Superior Court

Any party may submit on the tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.